

NOTE OF CAUTION THE MONEY TRAP

Given that fake currency is deeply entrenched into the economy, customers are the unsuspecting guinea pigs who not only have to bear a loss when they have been tendered a fake currency note, but also have to face cases that some banks are lodging for "handling" fake currency. So what can a customer do if he is told that the bank-

knote he has deposited with the bank is fake? According to a master circular issued by RBI in August 2006, the particular bank is supposed to impound the fake note and stamp: "COUNTERFEIT BANK NOTE IMPOUNDED". The bank is also supposed to give the depositor an acknowledgement receipt after stamping even if the customer re-

fuses to countersign the receipt. Then the bank is meant to forward the counterfeit currency notes to the local police after filing an FIR. A copy of this FIR is to be sent to the Forged Banknote Vigilance Cell at the bank's head office. All branches of banks and treasuries are also supposed to be equipped with ultraviolet lamps, but very few are.

HOW TO TELL A FAKE

Original Note

Silver Bromide thread with RBI marks in Hindi and English are prominent.

Three prominent watermarks on each note: a) Ashoka Pillar or Gandhiji's caricature, b) Denomination and c) RBI.

Sprinkled blue dots all over the note when seen in ultraviolet light.

The digits "500" (denomination), super imposed on the right side, when seen horizontally.



Fake Currency

The security thread (silver coated) and the logo, "RBI" in English and Hindi are hazy.

Three watermarks are not prominent.

Sprinkled dots not visible when seen in ultraviolet light.

The super imposed "500" digits not visible when seen horizontally.

THE PROBLEM

Fake currency thrives as the four main nodal agencies look at various aspects of the problem and do not coordinate

1) **CBI:** The nodal agency for making states aware of the problem has territorial limitations. State police units do not cooperate fully and it has a problem of jurisdiction in cases involving countries like Nepal and Bangladesh.
2) **Directorate of Revenue Intelligence:** Concerned with the smuggling of fake currency through airports, seaports and

land borders.
3) **Central Economic Intelligence Bureau:** Can only monitor the flow of fake currency through banks.
4) **Enforcement Directorate:** Primarily investigates money laundering and forex violations. Is only called in after a case of fake currency is registered, which is also tied up in bureaucratic red-tape.